Chapter 12

Controversies in Trade Policy

■ Chapter Organization

■ Chapter Overview

Although the text has shown why, in general, free trade is a good policy, this chapter considers two controversies in trade policy that challenge free trade. The first regards strategic trade policy. Proponents of activist government trade intervention argue that certain industries are desirable and may be underfunded by markets or dominated by imperfect competition and warrant some government intervention. The second controversy regards the recent debate over the effects of globalization on workers, the environment, and sovereignty. While the anti-globalization arguments often lack sound structure, their visceral nature demonstrates that the spread of trade is extremely troubling to some groups.

As seen in the previous chapters, activist trade policy may be justified if there are market failures. One important type of market failure involves externalities present in high-technology industries due to their knowledge creation. Existence of externalities associated with research and development and high technology make the private return to investing in these activities less than their social return. This means that the private sector will tend to invest less in high-technology sectors than is socially optimal. Although there may be some case for intervention, the difficulties in targeting the correct industry and understanding the quantitative size of the externality make effective intervention complicated. To address this market failure of insufficient knowledge creation, the first best policy may be to directly support research and development in all industries. Still, although it is a judgment call, the technology spillover case for industrial policy probably has better footing in solid economics than any other argument.

Another set of market failures arises when imperfect competition exists. Strategic trade policy by a government can work to deter investment and production by foreign firms and raise the profits of domestic firms. An example is provided in the text that illustrates the case where the increase in profits following the imposition of a subsidy can actually exceed the cost of a subsidy to an imperfectly competitive industry if domestic firms can capture profits from foreign firms. Although this is a valid theoretical argument for strategic policy, it is nonetheless open to criticism in choosing the industries that should be subsidized and the levels of subsidies to these industries. These criticisms are associated with the practical aspects of insufficient information and the threat of foreign retaliation. The case study on the attempts to promote the semiconductor chips industry shows that neither excess returns nor knowledge spillovers necessarily materialize even in industries that seem perfect for activist trade policy.

The next section of the chapter examines the anti-globalization movement. In particular, it examines the concerns over low wages in poor countries. Standard analysis suggests that trade should help poor countries and, in particular, help the abundant factor (labor) in those countries. Protests in Seattle, which shut down

WTO negotiations, and subsequent demonstrations at other meetings showed, though, that protestors either did not understand or did not agree with this analysis.

The concern over low wages in poor countries is a revision of arguments in Chapter 2. Analysis in the current chapter shows again that trade should help the purchasing power of all workers and that if anyone is hurt, it is the workers in labor-scarce countries. The low wages in export sectors of poor countries are higher than they would be without the export-oriented manufacturing, and although the situation of these workers may be more visible than before, that does not make it worse. Practically, the policy issue is whether or not labor standards should be part of trade pacts. Although such standards may act in ways similar to a domestic minimum wage, developing countries fear that such standards would be used as a protectionist tool. A case study on the 2013 collapse of a garment factory in Bangladesh highlights this tension. The Bangladeshi garment industry would not be globally competitive if it had to raise labor standards to rich country standards. Bangladeshi garment workers, though very poorly paid by rich country standards, earn more than workers in non-export sectors. A potential solution would be for consumers in rich countries to pay more for goods certified to have been produced under improved labor standards, thereby giving producers in poor countries both the means and the incentive to improve labor standards. This would require trust among consumers that the certification process is accurate, however.

Globalization raises questions of cultural independence and national sovereignty. Specifically, many countries are disturbed by the WTO's ability to overturn laws that do not seem to be trade restrictions but which nonetheless have trade impacts. This point highlights the difficulty of advancing trade liberalization when the clear impediments to trade—tariffs or quotas—have been removed, yet national policies regarding industry promotion or labor and environmental standards still need to be reformed.

This chapter also examines the link between trade and the environment. In general, production and consumption can cause environmental damage. Yet, as a country's GDP per capita grows, the environmental damage done first grows and then eventually declines as the country gets rich enough to begin to protect the environment. As trade has lifted incomes of some countries, it may have been bad for the environment—but largely by making poor countries richer, an otherwise good thing. In theory, there could be a concern about "pollution havens," that is countries with low environmental standards that attract "dirty" industries. There is relatively little evidence of this phenomenon thus far. Furthermore, the pollution in these locations tends to be localized and is therefore better left to national rather than international policy. An example of pollution that crosses borders is greenhouse gases, and this chapter discusses the cap and trade system currently being debated in the U.S. Congress. Part of this policy aimed at reducing carbon emissions is an imposition of a "carbon tariff" on imports from countries that do not have their own carbon taxes. Proponents argue that such tariffs are necessary to prevent production from shifting to pollution havens and to reduce the overall level of carbon emissions, while opponents argue that these tariffs are simply more protectionism masquerading as environmental regulation.

The chapter concludes with a discussion of the 2016 Autor, Dorn, and Hanson study that examines the effects of the rapid growth in Chinese exports to the United States since 1991. Though the benefits of trade have likely been larger than the costs, these costs have been concentrated within specific industries and within certain communities. Industries tend to be geographically concentrated (taking advantage of external economies of scale), so when an industry collapses due to trade, the losses are heavily concentrated within certain communities. These losses have been magnified by a reluctance of U.S. workers to move away from economically depressed regions. These concentrated losses from trade may help to explain the recent success of protectionist political movements.

■ Answers to Textbook Problems

1. The main disadvantage is that strategic trade policy can lead to both "rent-seeking" and beggar-thy-neighbor policies, which can increase one country's welfare at the other country's expense. In a vacuum, strategic trade policy could improve a country's welfare, but this ignores the possibility of retaliation. Retaliatory trade restrictions can trigger a trade war in which every country is worse off in the long run. Furthermore, it can be difficult to identify both which industries to subsidize and how much to subsidize them. Failure to correctly identify these factors can lead to a net loss from a subsidy.
2. The assertion that the U.S. government should subsidize the domestic self-driving car industry depends upon the benefits of this protection eventually exceeding the costs. This could happen if the self-driving car industry is characterized by excess returns, with imperfect competition eventually creating a scenario in which government support of the U.S. self-driving car industry would lead to market power for American firms that would generate returns in excess of the cost of supporting this industry in its infancy. While this is possible, the experience of the semiconductor industry suggests that government support may not always be warranted, even in situations that appear to have the externalities and technological spillovers that would justify support. Japan supported the growth of the domestic Japanese semiconductor industry in the late 1970s. Though the Japanese industry did grow to take a large share of the semiconductor market, it is not clear to what extent this was caused by government policy (Japan may have had a natural comparative advantage in this industry). Furthermore, Japanese dominance in semiconductors did not appear to generate the kind of technological spillovers or excess

returns that would have justified government support. Given this experience, it is not clear that the U.S. government supporting the domestic self-driving car industry would generate returns in excess of costs.

3. The results of basic research may be appropriated by a wider range of firms and industries than the results of research applied to specific industrial applications. The benefits to the United States of Japanese basic research would exceed the benefits from Japanese research targeted to specific problems in Japanese industries. A specific application may benefit just one firm in Japan, perhaps simply subsidizing an activity that the market is capable of funding. General research will provide benefits that spill across borders to many firms and may be countering a market failure, externalities present in the advancement of general knowledge.
4. A subsidy is effective when the firm in the other country does not produce when the domestic firm enters the market. As Tables 12-1 and 12-2 show, a subsidy may present a credible threat of entry and deter production by the other firm: A subsidy encourages Airbus to produce and Boeing not to produce. However, if the numbers in the table are incorrect and Boeing would continue to produce even if Airbus received a subsidy and entered (perhaps because Boeing is the relatively more efficient producer), then the subsidy to Airbus would generate a net cost to Europe. Another key assumption is that the subsidy would not raise costs to consumers in the home country. If it did, then we would need to factor in this loss against the benefit from capturing foreign profits.
5. A label guaranteeing that a product was produced by labor being paid a “fair” wage is not the same thing as a tariff on low wage exports. With a product label, consumers in developed countries make a choice over whether they would prefer to pay a little more for a higher wage export vs. a cheaper low wage export. If consumers prefer the higher wage exports, then there is an incentive for firms in developing countries to pay their workers more, improving the welfare of low wage workers. If they do, then they can earn this “fair wage” label that allows them to earn more revenue and potentially higher profits. Contrast this to a tariff on low wage exports, which would reduce the demand for exports and therefore labor in the low wage exporting country. Such a tariff would reduce welfare for low wage workers in these countries. Of course, this is all contingent on the accuracy of product labels. How confident can a consumer be that a product with a “fair wage” label was actually produced by workers earning fair wages. If there are doubts about the accuracy of such labels, then the market incentive mechanism will not be effective.

6. The main critique against the WTO with respect to environmental issues is that the WTO refuses to impose environmental standards on countries, but rather does not allow countries to discriminate against imported goods that are held to a different standard than domestically produced goods. In some respects, those opposed to globalization would rather see the WTO have more power than it actually

claims for itself, power to impose environmental laws as well as resolve trade disputes. However, the WTO does in one sense intervene in environmental issues of member countries by forcing member countries to apply the same standards to imported goods as to domestically produced goods.

7. The French may be following an active nationalist cultural policy as an economic or strategic trade policy to the extent that cultural activities, such as art, music, fashion, and cuisine, are linked to other French major industries. Indeed, the fashion industry is tied to the huge textile industry, as well as to the retail sector and advertising services. One could argue that the promotion of fashion, art, and music will benefit both tourism, and these large strategic trade sectors of the French economy. However, the existence of market failures is not clearly documented in the cultural sector except to the extent that there are other less tangible externalities. Furthermore, the cultural promotions are not, in economic terms, the first best approach to supporting larger industries.

8. Suppose that there were no tariffs on imports in a country that had value-added taxes. This would give an incentive for domestic firms to locate their production abroad and export their goods to that country to avoid the value-added tax. Thus, a tariff on imports is necessary to maintain the same relative price between domestically produced and imported goods. Similarly, the carbon tariff is put into place to prevent domestic firms from moving their production to a pollution haven with lax environmental regulations. By imposing a carbon tariff on imports, this incentive is reduced, and the overall level of pollution (especially important when dealing with trans-boundary pollution like carbon emissions) will be reduced. An objection over this tariff is that it may be discriminating between domestic and foreign goods. This would hold if it would be more costly for a foreign firm to reduce its carbon emissions than a domestic firm, thus giving an artificial advantage to domestic firms.

9. The Autor et al. paper found that the losses from trade tend to be geographically concentrated. Industries tend to cluster geographically, so if an industry collapses due to trade, these losses will be localized. The job losses from this industry will not only be felt by those who lose their jobs, but also by the local economy that depended upon consumption from the workers in these industries. For example, if a factory shuts down, the factory workers who lost their jobs will go out to dinner less often, buy new appliances less frequently, etc. There will thus be less labor demand in places like restaurants, retail outlets, etc. This result does not contradict the usual models of trade that job losses in one industry are offset by gains in other industries. However, the gains and losses do not occur in the same place. While it is possible for those who lost their jobs in one industry to move to an expanding industry, this would require them to not only acquire the skills needed in the growing industry, but to also physically

move to a new location. The results of the Autor et al study indicate that there is significantly less labor mobility among U.S. workers than had been previously assumed.